

## SOURCES Part 1

money mkt vs capital mkt (distinction) - 2 marks

MM is a ST mkt

CM is a LT mkt

primary vs secondary mkt (distinction) - 3 marks

primary mkt: where there is the IPO & firm gets the money.

secondary mkt: shares traded btwn individuals & s/h gets the money

rights issue: only to existing s/h's

- theoretical price calc

- value of right

- what is the signalling effect of a rights issue?

signalling effect is when a firm changes their div. policy. If a firm starts issuing, it could signal lack of projects to invest in & possible -ve effect on future growth.

If they stop, could signal cash flow problems

pg 13 e.g. theoretical share value post issue - subscr. price  
value of right =  $6 - 5 = 1$   $\times$   $S_1 9 - 5 = R0,90$

theoretical share = full value  $\div$  no of shares

value of company =  $1M \times R6 + 1M \times 5 = R59M$

## SOURCES Part 2

Preference dividends are not deductible

- 'of these, why is this one tax deductible & not others'

Debt vs equity  
?

## Cap. Str. Part 1

Optimal cap. str

- unfavourable effect of leverage  
(using table comparison pg 16)

pg 10 CoB 2:3  $i = 11\%$   $t = 28\%$

|        | A    | B    |
|--------|------|------|
| Equity | 1000 | 600  |
| Debt   | -    | 400  |
| TA     | 1000 | 1000 |

|            |       |         |
|------------|-------|---------|
| EBIT       | 400   | 400     |
| i          | -     | (44)    |
| t          | (112) | (99,70) |
| Net income | 288   | 256,30  |

$$ROA = \frac{EBIT(1-t)}{TA} \quad 28,8\% \quad 28,8\%$$

$$ROE = \frac{NOPAT}{E} \quad 28,8\% \quad 42,72\%$$

$$\text{Tax shield} = D \times t = 400 \times 28 = 112$$

## Part 2

M+M with taxes

$$V_L = V_U + PV_{TS}$$

Debt  $\frac{1}{3}$  tax shield e.g. 2 - just numbers change

$$t = 12\%$$

$$D = 900M$$

$$E = 100M$$

$$ROA = \frac{NOPAT}{TA} =$$

before

$$14,4\%$$

after

$$14,4\% \quad \checkmark$$

$$ROE = \frac{\text{Net income}}{E} =$$

$$14,4\%$$

$$66,2\% \quad \checkmark$$

$$V_L = 1000 + 252 = 1252$$

$$PV_{\text{tax shield}} = 900 \times 28\% = 252$$

Part 3  $\frac{1}{3}$  Part 4

Exam, not test

## Dividends

Didn't attend lecture

## WACC

Valuing a bond in perpetuity

which elements should you adjust for tax shield  
? why?

pay attention to eg 8 pg 26

Estimation of cost of equity  
- focus on a ?

WACC applications pg 54

## BASIC VAL

Valuation of ord. shares

- use const. div g model pg 32
- apply 2-stage valuation div. model pg 42

Redeemable vs nonredeemable